CHARTERED ACCOUNTANTS ACADEMY

AUDTING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 1: AUDIT EVIDENCE PHASE 2

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1. Introduction

This study unit focuses on the following areas with regards to gathering of audit evidence:

i. Using the work of a management expert
ii. Using the work of an auditor's expert
iii. Using the work of internal auditors
iv. Initial engagements – opening balances
v. Audit of financial instruments
vi. External confirmations

2. Objective

After studying this study unit, you should be able to:

- explain the principles that underlie the obtaining of audit evidence (ISA 500);
- Considering the effect of financial instruments on an audit.
- Identifying how financial instruments affect the various aspects of the audit, including the effect on audit risk, audit strategy and plan.
- Designing procedures necessary for the auditing of derivative financial instruments.
- Auditing accounting estimates including fair value accounting estimates and related disclosures.
- Identifying the audit risks and procedures to perform in respect of opening balances for initial engagements.
- Considering the audit requirements for using the work of others.

3. Scope/relevant ISAs

- ISA 500: Audit evidence
- ISA 505: External confirmations
- ISA 510: Initial audit engagements – opening balances
- ISA 540: Auditing accounting estimates, including fair value accounting
- estimates, and related disclosures
- ISA 610: Using the work of internal auditors
- ISA 620: Using the work of and auditor's expert.

4. Study material

- CAA Applied Auditing and Governance Module 2 (AUD 402) – Study unit A

5. Examination possibilities

This topic can be examined as the auditor having to carry out substantive procedures in light of any aspect of the financial statements, you may be restricted on which assertions to formulate substantive procedures on or it may be an open question.

It is also possible to be given substantive procedures that were done, and you add on other valid substantive procedures.

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6. Assumed knowledge

The following is assumed knowledge which you should already have at CTA level.

- Planning
- Risk assessment
- Audit strategy and audit plan
- Materiality in planning an audit
- Obtaining an understanding of the control environment

7. Integration

This topic can be integrated with:

- Financial Accounting and Reporting- all international accounting standards. Performing substantive audit procedures
- Taxation- formulating substantive procedures on amounts included/excluded in gross income, allowable deductions and tax computation.
- Management Accounting and Finance- formulating substantive procedures on accuracy of valuations, inventory costing etc.

8. Competence Framework expectation

- For a given set of circumstances, decide on –
  - the form, extent and quality of evidence required to support the assurance report
  - the most efficient testing procedures (e.g., tests of control and/or substantive tests of detail / analytical procedures) to obtain the evidence
  - the need to make use of others (experts, internal auditors, other auditors) or the need to use computer assisted audit techniques to gather evidence
- Communicate the audit plan to appropriate key stakeholders (including those charged with governance).
- Design and document appropriate programmes of engagement procedures based on the above considerations.
- Be alert to changes in circumstances not considered in the design of the engagement procedures and adjust the procedures appropriately
- Perform the procedures specified in the programme (e.g. analytical review of expenses) with due care and an objective state of mind.
- Apply an appropriate level of professional skepticism, remaining alert to the possibility of fraud and non-compliance with laws and regulations.
- Understand the need to supervise and review work of junior staff.
- Modify the work plan as necessary.
- Prepare documentation with sufficient detail to support the nature, timing and extent of the further audit procedures performed and the results of the procedures.

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- For each procedure performed, ensure that the documentation provides a clear link to significant findings or issues that arose during the engagement.
- Evaluate the overall adequacy of documentation

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9. Course Notes

9.1 ISA 500 Audit Evidence: Using the work of a management expert

Key Definition:
Management's expert – An individual or organization possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing financial statements. (ISA 500 par 5 (d))

An auditor may use information prepared by a management's expert as audit evidence after considering the following (or before placing such reliance):

a. Evaluate the competence, capabilities and objectivity of that expert (par 8 (a))
b. Obtain an understanding of the work of that expert; and (par 8 (b))
c. Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertions. (par 8 (c)).

9.1.1 Evaluating Competencies, capabilities and objectivity (par A37 to A43)

Competence relates to the nature and level of expertise of the management's expert and **capability** relates to the ability of the management's expert **to exercise that competence** in the circumstances. Factors that influence capability may include, for example, geographic location, and the availability of time and resources.

Objectivity relates to the possible effects that bias, conflict of interest or the influence of others may have on the professional or business judgment of the management's expert.

Source of information regarding competence, capabilities and objectivity include the following:

- Personal experience with previous work of that expert.
- Discussions with that expert.
- Discussions with others who are familiar with that expert's work.
- Knowledge of that expert's qualifications, membership of a professional body or industry association, license to practice, or other forms of external recognition.
- Published papers or books written by that expert.
- An auditor's expert, if any, who assists the auditor in obtaining sufficient appropriate audit evidence with respect to information produced by the management's expert.

The auditor may use the above source of information when performing procedures to gather information on management's expert's competence, capabilities and objectivity.

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Example: Inquiry with relevant professional bodies to confirm membership to these bodies of the management expert.

Factors that may create threats to an expert's objectivity include the following:

- Financial interests.
- Business and personal relationships.
- Provision of other services.

9.1.2 Obtaining an understanding of the work of the management's expert (par A44 – A47)

An understanding of the work of the management's expert includes an understanding of the relevant field of expertise. Aspects of the management's expert's field relevant to the auditor's understanding may include:

- Whether that expert's field has areas of specialty within it that are relevant to the audit.
- Whether any professional or other standards, and regulatory or legal requirements apply.
- What assumptions and methods are used by the management's expert, and whether they are generally accepted within that expert's field and appropriate for financial reporting purposes.
- The nature of internal and external data or information the management's expert uses.

Where expert is engaged by the entity, evaluating the agreement when obtaining an understanding of the work of the management's expert may assist the auditor in determining the appropriateness of the following for the auditor's purposes:

- The nature, scope and objectives of that expert's work;
- The respective roles and responsibilities of management and that expert; and
- The nature, timing and extent of communication between management and that expert, including the form of any report to be provided by that expert.

9.1.3 Evaluating the appropriateness of the Management Expert's Work (par A48)

Considerations when evaluating the appropriateness of the management's expert's work as audit evidence for the relevant assertion may include:

- The relevance and reasonableness of that expert's findings or conclusions, their consistency with other audit evidence, and whether they have been appropriately reflected in the financial statements;
- If that expert's work involves use of significant assumptions and methods, the relevance and reasonableness of those assumptions and methods; and
- If that expert's work involves significant use of source data, the relevance, completeness, and accuracy of that source data.

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9.2 ISA 610: Using the work of internal auditors

In terms of ISA 500 the onus is on the external auditor to obtain sufficient appropriate evidence to be able to draw reasonable conclusions on which to base the audit opinion.

In turn the auditor's objective where an entity has an internal audit function, and the external auditor expects to use the work of the function is to modify the nature or timing, or reduce the extent of audit procedures performed directly by the external auditor. (ISA 610:11)

9.2.1 Key Factors to consider before placing reliance on the work of internal auditors

a) The organizational status and objectivity of the internal audit function:
   - Do they report to and have direct access to those charged with governance?
   - Are they free from any conflicting responsibilities?
   - Are they free from operational responsibilities?
   - Are there any constraints or restrictions placed on the internal audit function?
   - Are the internal auditor's members of relevant professional bodies?
   - Is there sufficient audit committee oversight to ensure all of the above?

b) The technical competence of internal audit staff:
   - Do internal auditors have adequate:
     - Resources (relative to size and nature of the entity)
     - Qualifications (Including membership to professional bodies)
     - Experience; and
     - Technical training and proficiency in auditing
     - Polices for hiring and training
   - Are the policies for hiring and firing appropriate?
   - Have they failed to pick up on anything obviously wrong?

c) Whether the internal audit function exercises due professional care and conduct:
   - Are activities properly planned, performed, supervised and documented?
   - Are internal auditors free to communicate with external auditors?
   - Are regular meetings held?

The auditor would assess the work performed by the internal auditor by:

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i. Reviewing internal audit working papers;
ii. Performing tests on similar items;
iii. Reperforming a sample of items already tested;
iv. Enquiring of internal audirstaff regarding the procedures used by the function and considering the appropriateness thereof; and
v. Considering whether:
   - The work was performed by a person with adequate training and proficiency;
   - Conclusions are supported by audit evidence and are appropriate; and
   - Exceptions, errors and abnormal items were properly resolved.

9.3 ISA 620: Using the work of an auditor's expert.

The auditor will often rely on the work on an expert when performing substantive procedures to decrease the risk that material misstatements will not be detected.

When appointing the expert, the auditor should:

a) Obtain the client's permission to use an expert.

b) Consider the expert's qualification, capability and objectivity. Factors to consider include:
   - Whether the expert is a member of a professional body;
   - The expert's reputation and experience in the industry;
   - The expert's independence and objectivity; and
   - Any published papers or books written by the expert.

c) Consult with the expert prior to appointment regarding:
   - The objective of his work;
   - The basis to be used for valuations or models; and
   - Any methods and assumptions to be used.

In evaluating the adequacy of the expert's work, the auditor would consider:

- The relevance and reasonableness of his final conclusions;
- The relevance and reasonableness of the models and assumptions used in arriving at conclusions; and
- The relevance, completeness and accuracy of source data used by the expert.

*NB!! If a client refuses to allow the auditor to use an expert, this would constitute a **limitation of scope** and would result in the auditor expressing a qualified opinion or a disclaimer of opinion.*

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9.4 ISA 510: Initial audit engagements – Opening Balances

The purpose of this statement is to establish standards and provide guidance regarding opening balances where:

- ✓ Financial statements are audited for the first time or
- ✓ Where financial statements of the prior period were audited by a predecessor auditor.

Audit procedures on opening balances (par 5 to 6)

a. The auditor shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.
b. The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by: (Ref: Para. A1–A2)
    i. Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated;
    ii. Determining whether the opening balances reflect the application of appropriate accounting policies; and
    iii. Performing one or more of the following: (Ref: Para. A3–A7)
        - ✓ Where the prior year financial statements were audited, reviewing the predecessor auditor's working papers to obtain evidence regarding the opening balances;
        - ✓ Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or
        - ✓ Performing specific audit procedures to obtain evidence regarding the opening balances. Examples may include, Preparing and sending bank confirmations letters in respect of opening bank balances.
c. The auditor shall obtain sufficient appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, and whether changes in the accounting policies have been appropriately accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.

Audit Conclusions and Reporting

a) Opening balances:

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- ✓ If unable to obtain sufficient appropriate audit evidence in respect of opening balances, a qualified opinion will be issued or disclaim an opinion on the financial statements.
- ✓ If the opening balances contain material misstatements and the effects of these has not been appropriately accounted for a qualified opinion or adverse opinion may be expressed.

b) Consistency of accounting policies:

If the auditor concludes that:

- ✓ the current period's accounting policies are not consistently applied in relation to opening balances in accordance with IFRS; or
- ✓ a change in accounting policies is not appropriately accounted for or not adequately presented or disclosed in accordance with IFRS (think IAS 8),

the auditor shall express a qualified opinion or an adverse opinion as appropriate in accordance with ISA 705.

9.5 ISA 540: Auditing accounting estimates – Financial Instruments

Definitions and use of financial instruments (IAS 32)

Financial Instrument – contract that gives rise to Financial Asset/Financial Liability or equity instrument.

Financial Assets include

- Cash
- Equity instrument
- Contractual right to receive cash or exchange Financial Asset/Financial Liability
- Contract settled in entities shares (variable number)

Financial Liability – opposite of Financial Asset

Used for:

- Hedging – changing/managing the existing risk profile
- Trading – short term benefit/profit
- Investments – long term returns

Where do Financial Instrument's come from?

Where are FI's originated?

- Equity markets
- Foreign exchange markets
- Options/derivative markets

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- Banking/Financial institutions
- Private Contracts

NB!! *Based on the source of the Financial Instrument's you should get a good idea of the various sources of information the auditor will need to use to perform testing.*

Valuation of financial instruments

Strong link to ISA 540 dealing with estimates.

Financial Instruments generally at fair value:

Fair Value Hierarchy

Level 1 – Quoted prices

Level 2 – Inputs other than quoted prices

Level 3 – Unobservable inputs (use of models)

Valuation process

- Use of experts
- Use Complex valuation models
- 3rd party pricing sources

Auditor considerations: Challenges of auditing financial instruments

- Complexity
- Market sentiment & liquidity change quickly
- Supporting evidence may be difficult to obtain
- Risk of misappropriation of assets due to link with cash payments
- Amounts recorded in the financial statements might be small or immaterial but there are likely to be significant risks and exposure
- Some employees in key positions might exert significant influence on transactions

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How to come up with procedures to obtain audit evidence over financial instruments.

Assertion	What to look out for
Occurrence – was the FI entered into in a valid manner	complexities of hedging (requirements) and documentation should also be considered here
Completeness – have all FI's that were meant to be recorded been included	Financial institution confirmations major source of evidence
Accuracy – have the calculations (often complex) been recorded correctly.	Will often start by auditing the inputs – thereafter recalculating management's calculation.
Classification – has the transaction been classified correctly	▪ Particularly applicable here as hedging might be applicable. ▪ Choice of accounting policy might also become relevant
Cut-off – was the transaction recorded in the correct period	Most relevant in banking/financial institution environments with many instruments.
Existence – do the FI's actually exist at year end	Financial institution confirmations major source of evidence - Brokers notes, original contracts
Valuation – have the FI's been valued correctly in terms of IFRS?	Will include specifics like choice of policy, hedging & related complexities. Independent inputs likely to be major source of evidence
Rights and obligations	Might become relevant based on extent of margin trading/collateral required

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9.6 ISA 505: External confirmations

External confirmation is audit evidence obtained as a direct response to the auditor from a third party (the confirming party) in paper, electronic or other form.
External confirmations obtained by the auditor can be an effective way of obtaining sufficient appropriate audit evidence, because:

- External confirmations are more reliable than internal evidence;
- Written evidence is more reliable than oral evidence; and
- Evidence obtained directly by the auditor from third parties provides the highest level of assurance.

Situations where external confirmations may be used include the following:

- Bank balances and other information;
- Inventory held by 3rd parties;
- Title deeds and investment certificates held by 3rd parties;
- Accounts receivable balances; and
- Loan balances.

External confirmation procedures

Confirmation requests should include management's authorization to the respondent to disclose the information to the auditor.

Positive vs negative confirmations
A Positive confirmations request asks a respondent to respond directly to the auditor in all cases and is ordinarily expected to provide audit evidence with a high level of reliability.

On the other hand, a negative confirmation asks the respondent to respond only when they do not agree with the information provided in the request. Ordinarily negative confirmations given their nature provide less persuasive audit evidence than positive confirmations.

The confirmation process

The auditors should exercise control over the confirmation process by:

- Preparing the confirmation requests themselves;
- Sending the confirmation requests themselves; and
- Requesting responses to be send directly to the auditor.

If no responses is received to a positive confirmation request the auditor should perform alternative audit procedures which may include for example:

- For accounts receivables, inspection of subsequent receipts from client's customers; or

For accounts payable, the inspection of proof of payments of goods received.

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10. PRACTICE QUESTION

You are a senior manager at the audit firm Black Inc, a relatively large firm with branches throughout Zimbabwe. Over the years your firm has earned the reputation as one of the best in its field - a reputation earned by hiring only the most dedicated and talented Chartered Accountants in Zimbabwe. You are currently assigned to the audit of PropMAX Group Ltd (PropMAX) for the year ended 30 September 2020.

PropMAX was started by Heinkie Muller, a charismatic engineer with an entrepreneurial spirit. He began his career in the early 1980s by developing residential properties together with a few family members and close friends. Inspired by his first successful venture into property, Heinkie created PropMAX with the intention of growing it into one of Zimbabwe's largest property development companies. Initially, the company's business model was to acquire undeveloped land. Usually, these plots were located away from busy suburbs as Heinkie did not believe in paying exorbitant premiums for prime real estate. He has often been heard saying, "If we build it, they will come". PropMAX also performs certain large-scale construction work for 3rd parties in its building division.

Currently PropMAX derives its income from a variety of sources as detailed below:

- Revenue from the sale of units of completed property developments
- Rentals - A few units of each development are kept to lease out to third parties to earn rental income
- Interest income from providing mortgage financing as well as repackaging mortgages into collateralized mortgage obligations (CMOs).
- Revenue based on work certified on construction work-in–progress, fixed price contracts

PropMAX established a subsidiary, PropFIN (RF) (Pvt) Ltd (PropFIN), for purchasing secured loans receivable from PropMAX, and then re-bundling into CMOs. You queried the mechanics of a CMO, and your firm's technical department has sent you the following email to explain how the process works.

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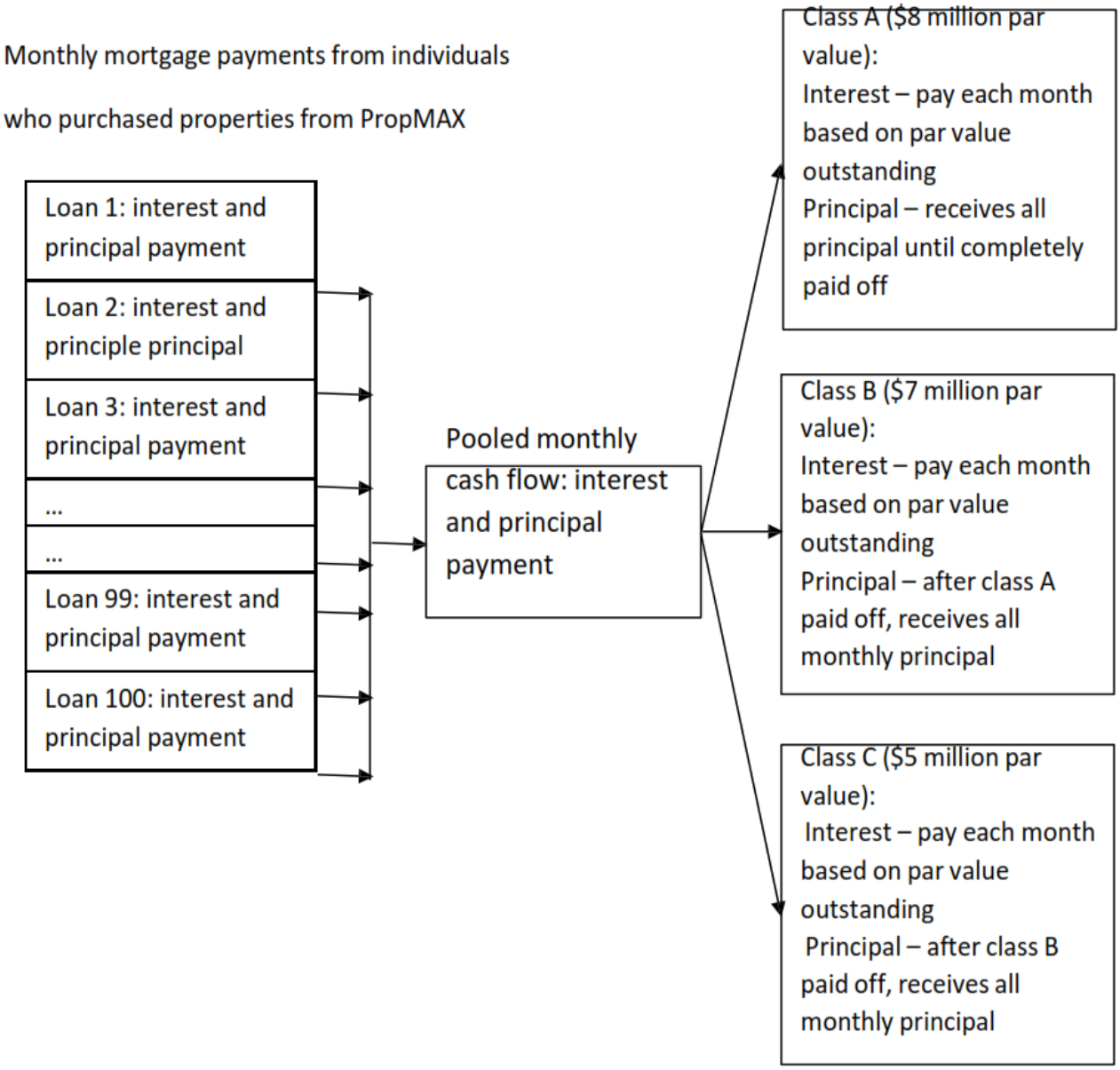
Hi Team

As was requested I have written up a description detailing the process that PropFIN follows when creating CMOs. I must say, even for me that was such a confusing task! Don't worry though we've had a few discussions here at technical and we're 100% sure we've got it correct.

1. *Firstly, PropFIN has been set up as a special purpose vehicle (SPV) of PropMAX.*
2. *PropMAX sells properties on the basis that the buyers must pay for the property in equal monthly installments over 20 years. The amounts owing are secured by mortgage bonds, and bear interest at prime +2%. PropMAX sells the loans receivable (with the mortgage bonds) to PropFIN.*
3. *PropFIN buys approximately 100 of these loans from PropMAX in a bundle, valuing the loans based on the net present value of all the installments, calculated using a discount rate of prime -1%. Thus, for example, if the bundle represents amounts owing by home buyers of $18 million, PropMAX sells these debtors to PropFIN for $20 million. The selling price to PropFIN is more than the capital value due by the debtor because the discount rate applied in the determination of the price is lower than the interest rate charged on the debtors' accounts.*
4. *Each loan has a monthly cash flow associated with it, comprising of both interest and repayment of principal. The mortgage loans are then pooled and have a combined present value of $20 million using a discount rate of prime -1%.*
5. *In terms of the CMO distribution rules, the cash flows from the pool of mortgages will be distributed to 3 classes of PropFIN bondholders: Classes A, B and C.*
6. *Bond class A, B and C have a par value of $8 million, $7 million and $5 million respectively.*
7. *Each bond class has a different risk profile. The sum of the face values of the bond classes equals the pooled value of all the mortgage loans. For each of the bond classes, certificates have been issued representing a proportional interest in that total class of bond. Each certificate holder is entitled to a proportionate share of the monthly cash flow attributable to that class of bond.*
8. *Each of the bond classes receives interest based on the principal advanced. The class A bonds earn interest at prime - 2%. The class B bonds earn interest at prime. The class C bonds earn interest at prime + 1%.*
9. *The rules for the monthly distribution are:*
    a. *Class A bonds are entitled to receive repayment of all principal and interest due on the A bonds before the other bond classes are paid their principle.*
    b. *Once the class A bonds have been paid, the class B bonds are entitled to payment of their principal.*
    c. *Thereafter the class C bonds are entitled to payment of their principal.*
    d. *All classes of bonds will be paid interest on the value of principle outstanding.*

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Below is a diagram to help you understand the process:



I have also attached the following report, as paid for by PropFIN, from Standard and Rich (S&R) rating agency, detailing the credit rating of each of the three classes.

Bond	*Credit Rating*	*Credit Worthiness*
A	*A+*	*PropFIN has STRONG capacity to meet its financial commitments but is somewhat more susceptible to the adverse effects of changes in circumstances and economic conditions than bonds in higher-rated categories.*
B	*BBB-*	*PropFIN has ADEQUATE capacity t o meet its financial commitments. However, adverse economic conditions or changing circumstances are more likely to lead to a weakened capacity of PropFIN to meet its financial commitments*
C	*CCC*	*PropFIN is CURRENTLY VULNERABLE, and is dependent upon favorable business, financial, and economic conditions to meet its financial commitments.*

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The main reason for S&R's rating class C bonds as the least creditworthy is because any losses on delinquent loans will first be absorbed by these bondholders as the most junior class of CMO, followed by Class B and lastly Class A. Therefore, Class A will have the best protection from credit losses.

Hope you find this helpful. Good luck with the rest of the audit! Regards

David Thomas

Technical Manager

On 5 March 2019, investors were given the opportunity to participate in the CMO through a public offering of bonds. Within a few weeks, both Class A and Class B bonds were fully subscribed for by investors. However, in light of the unfavorable credit rating given by S&R rating agency, none of the C Class bonds were taken up, so PropMAX acquired all of the C Class bonds (in settlement of the remaining amount due by PropFIN to PropMAX).

PropFIN ensured that there was a vast network of brokers who would be willing to trade CMOs, in over-the-counter markets. Nevertheless, within a few months, the difficulty in valuing these securities meant that trades were limited and liquidity in the market dried up.

At year end, the financial manager of PropFIN, Mr. Mkhize, has assured the audit team that the value of the class C bonds held by PropMAX have been valued correctly at an amount equal to their issue price, using Monte Carlo simulation, whereby risk is accounted for using quantitative analysis.

While performing the audit at PropMAX and its subsidiaries, the following further issues came to light:

Issue 1

During the audit of accounts receivable, it was decided that sampling procedures would be necessary, due to the high number of debtors. In addition, the population was stratified according to high-value debtors (population A) which totaled $3 668 570, and low-value debtors (population B), which amounted to $1 590 000. Positive confirmations were sent to a sample from population A, with negative confirmations sent to a sample from population B.

The results of the sampling procedures were as followed:

	Population A	Population B
Total numbers of debtors	4850	12600
Confirmations sent	485	630
Value of debtors sampled ($)	395 045	86 132
Total replies	480	22
Value of misstatements	63 700	25 400

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Issue2

While performing tests of details over a construction contract in place between PropMAX and Sun Universal Limited, a company that contracted PropMAX to build a state-of-the-art hotel in Chinhoyi near the Chinhoyi Caves, it was found that the costs to complete the contract exceed the amounts still to be billed. Management, upon being informed of this, agreed that a provision needed to be raised. After thoroughly investigating the above contract, management raised a provision of $450 000, representing their best estimate of the quantum of the onerous contract liability.

However, while performing substantive procedures over the valuation of this provision, it was decided to consult with an expert who deals with contracts of this type within the auditing firm. The expert concluded that a provision of $550 000 was required.

Issue3

A junior on the audit team, Jacques Rossouw, was paging through a draft copy of the PropMAX 2020 annual report to be published, and noted that the Chairman's Report includes the following paragraph:

> *"…our optimism regarding the future potential growth of this company is substantiated by the recent upswing in earnings experienced by the company. Income is up by 35% across the group, contributing to an increase in profit before tax of 23%. Earnings per share, a ratio on which we at PropMAX pride ourselves, continues to reflect strong growth.*

This information appears to contradict the audit work Jacques had been doing as the earnings per share, per the Financial Statements, had shown minimal growth in the current year. In discussion with management, they advised that IFRS does not apply to the Chairman's Report, and that report is not part of the audited financial statements, and they assume that the chairman is referring to the compound annual growth rate since 2011 – which is still above 23% p.a.

Financial statement materiality at PropMAX has been correctly set at $200 000 for the current year's audit.

Required

		Marks
1	Formulate the substantive audit procedures required to obtain sufficient, appropriate audit evidence in relation to: a. Sale of debtors by PropMAX to PropFIN (from the perspective of BOTH companies) b. The issue of the bonds by PropFIN and the treatment of the bonds in the PropFIN financial statements c. Investment in Class C PropFIN bonds held by PropMAX	**10** **5** **5**

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Solution

a)	Sale of debtors by PropMAX to PropFIN	10
	Obtain and **inspect** a **schedule** from management with regards to the debtors sold and agree this to the trial balance, financial statements and agreement to **confirm consistency**.	**1**
	Obtain and **inspect spreadsheet/calculations** used to determine the price for the sale of the debtors by Propmax to Propfin. Cast and cross cast the schedule **to verify mathematical accuracy**.	**1**
	Obtain and **inspect** a **signed management representation letter** stating that **the sale of debtors has been correctly dealt with** in terms of all assertions	**1**
	By **enquiry** with management determine the source of **the inputs (cash flows) in the spreadsheet** and **evaluate the appropriateness of** the cashflows. **Vouch** the **cash flows** used in the spreadsheets to the source data used, inter alia by inspection of underlying sale contracts with property buyers to **confirm occurrence.**	**1** **1**
	Inspect the **contrac**t to purchase the debtors from PropMax: ✓ **to determine that all the terms accord with the manner** raised in the books of both companies, and ✓ that it was signed by both parties	**1** **1**
	Recalculate the **net present value** of the debtors sold **to confirm they were for $20 million**.	**1**
	Inspect accounting entries in Propmax and Propfin de- recognizing the debtors of $18m in Propmax (accounting for the sale to Propfin,) recognizing the profit on sale of the debtors of $2m; in Propfin bringing to account the debtors acquired for $20m to **confirm accuracy**.	**1**
	If FV is lower than purchase price it is necessary to i**nspect fair value adjustment** in Propmax **to confirm accuracy** and compliance with requirements of IFRS 9.	**1**
b)	**The issue of the bonds by PropFIN and the treatment of the bonds in the PropFIN financial statements**	**5**
	Obtain an understanding of the method used to determine the allocation of cash flow between the classes by inspecting workings and documents evidencing the trail of cash.	**1**
	Once system for making payments to bond holders has been determined, inspect bank statements/bank transfer documents/ remittance advices for payments made to bond holders.	**1**
	Inspect the MOI of PropFin to ascertain that there are no restrictions on the company creating and selling CMOs.	**1**
	Inspect PropFin's accounting policy to ensure that the CMOs are held at amortized cost using the effective interest rate.	**1**

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	Reperform management's calculation of the fair value of each class of CMO by using a Monte Carlo simulation. This should be done after adjusting the inputs and assumptions used in order to evaluate the reasonableness of management's valuation.	**1**
	Inspect the disclosure of the fair value of the CMOs in the group financial statements is in terms of IFRS 7.	**1**
	Compare the fair value calculated using Monte Carlo simulation to the fair value disclosed in terms of IFRS 7.	**1**
	Inspect the bank statements of PropFin to ensure that all subscribed CMOs were paid for by investors	**1**
	Inspect Propfin bond register and bond certificates to ensure all bonds issued.	**1**

c)	**Investment in Class C PropFIN bonds held by PropMAX**	**5**
	Inspect journal entries in Propmax and Propfin reflecting the Propfin C bonds acquired by Propmax (issued by Propfin) in settlement of the amount outstanding.	**1**
	Consider the fair value of Propfin C bonds held by Propmax inter alia by inspection of latest credit ratings, whether all payments on C bonds as due have been made, considering the probability of receiving future amounts due – considering quality of debtors, cash flows to date, prepayment and default rates by comparing to economic data from journals or industry reports, and Propmax experience for similar developments.	**1**
	Obtain a more recent report from Standard and Rich's rating agency to determine whether the credit rating related to Class C has deteriorated further.	**1**
	Assess the objectivity of Standard and Rich's as they were paid to produce the report by PropFin and whether reliance can be placed on their report.	**1**
	Inspect the Propmax general ledger to ensure that cash flows received in connection with the Class C CMOs were split between their interest and capital portions.	**1**
	Inspect the underlying CMO contracts to confirm that all cash flows are solely payments of principal and interest.	**1**
	In light of the declining liquidity in OTC markets, consider whether the class C CMOs need to be impaired in terms of IFRS 9.	**1**
	Recalculate interest and perform analytical review of total interest relative to the capital value of the bonds and interest rates on a month on month basis.	**1**

Adapted from CAA CTA fulltime 2013 Paper 1 end of year exams

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